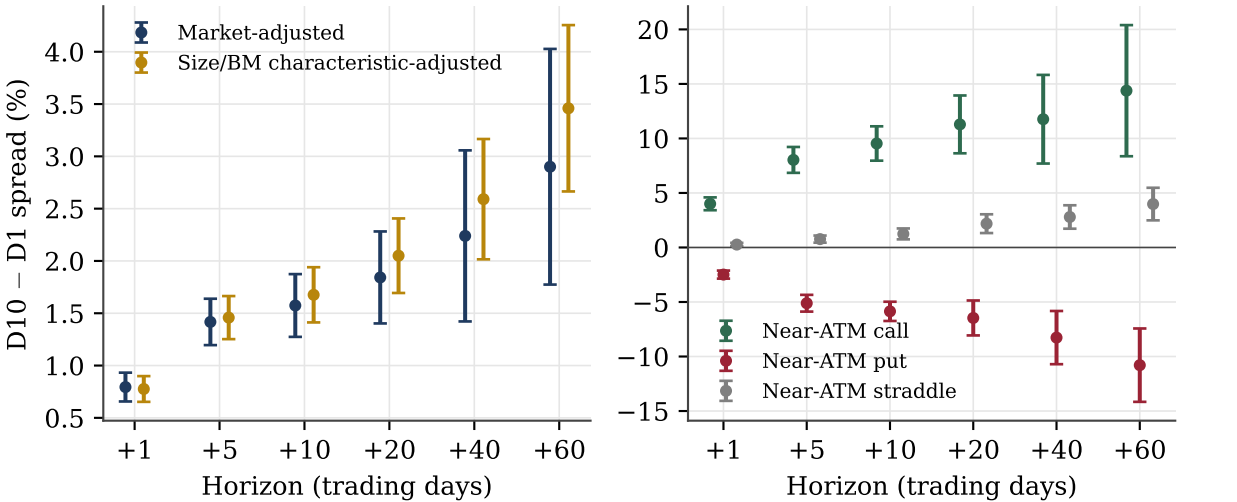
(a) Equity: long D10 / short D1
Market-adjusted
Size/BM characteristic-adjusted
D10 − D1 spread (%)
4.0
3.5
3.0
2.5
2.0
1.5
1.0
0.5
+1
+5
+10
+20
+40
+60
Horizon (trading days)
(b) Options: D10 − D1 premium return
20
15
10
5
0
−5
−10
−15
Near-ATM call
Near-ATM put
Near-ATM straddle
+1
+5
+10
+20
+40
+60
Horizon (trading days)